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Methods of Motivation

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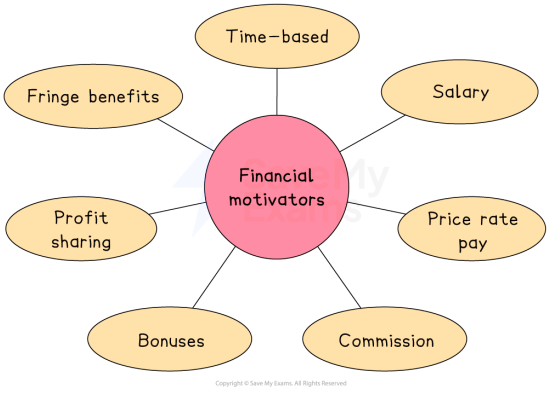
Financial methods of motivation

- Financial incentives are **rewards or payments** given to employees in return for their labour or improved performance
- The different theories of human motivation offer varying perspectives on the **role of money in motivating staff**
  - **Herzberg's theory** says that money is not generally a motivator, but the lack of it leads to dissatisfaction
  - **Maslow's theory** suggests people move through levels of needs that motivate them
    - Lower-order needs are closely linked to financial rewards, whilst higher-order needs are rarely linked to pay
    - **Physiological** and **safety** needs can be partially met by providing adequate pay
    - **Love and Belonging** needs are often met by encouraging aspects such as teamwork

Financial methods of motivation



Financial incentives motivate some employees, depending upon the importance that they place on monetary

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Got it

Incentive type	Explanation
Time based	• This refers to the **basic wage** or **salary** that a worker receives for their labour • Employees who work on an hourly rate are paid **wages** and **accrue** benefits such as annual leave according to the hours they work
Salary	• Salaries are paid to full-time staff and usually accompanied by benefits such as a fixed number of days of annual leave
Piece rate pay	• Some workers may be paid a **piece rate** according to how many items they produce or sell
Commission	• A percentage of **sales revenue** is paid to workers who sell products or services • Commonly used in sales roles and motivates staff to sell more and **upsell**
Bonus	• An additional payment given to staff awarded for achieving specific goals, completing projects on time or **exceeding performance targets** • The opportunity to **earn more money** may motivate staff to work harder and achieve better results
Profit sharing	• A financial reward where employees receive a share of the business's profits, often given as an annual payment in addition to their regular salary • Knowing they will benefit directly from the business's success may encourage staff to work harder, improve performance and stay loyal to the firm

Fringe benefits	• These are **additional benefits** usually offered to salaried employees
	  ○ Fringe benefits could include the use of a company car, private healthcare or gym membership
	  ○ Employees can be **motivated to work hard** in order to keep their job and the associated fringe benefits

Help me understand

Examiner Tips and Tricks

Non-financial methods of motivation

- Non-financial incentives are **rewards** that are **not directly related to money**
- These incentives may be **intangible** and include **methods that lead to** recognition, praise, job satisfaction or improved work-life balance

Types of non-financial Incentives

1. **Praise/employee of the month**
   - Many workers respond well to praise or to recognition programs inside the workplace.
   - Meaningful praise can increase productivity

2. **Job enrichment**
   - Involves adding more **challenging or meaningful tasks** to a job
   - Staff feel more motivated and engaged, leading to improved productivity

3. **Job rotation**
   - Involves moving staff between **broadly similar but varied roles** in the business
   - Exposes staff to **new challenges and experiences**, which can increase motivation, understanding and skill

4. **Teamworking**
   - Teamwork may involve workers **completing tasks together**
   - Teamwork can increase motivation in the workplace, as each member of staff has a role and a shared goal

5. **Training**
   - Involves staff **improving or learning new skills** and abilities
   - This can make employees feel valued, more productive and likely to remain with the business

6. **Promotion opportunities**
   - Employees offered promotion will feel recognised, have a **higher status** and will be given more challenging tasks/responsibilities to perform
   - These benefits are closely linked to the views of both Maslow and Herzberg

Recommending motivation methods

- When recommending a method of motivation for employees in a business, managers must recognise that

motivation method

- **The context of the business**
  - What type of business is it? E.g. manufacturing or sales
  - The **budget available**
  - How many workers does the organisation have?
  - Does the business currently use any methods of motivation?
  - What is the nature of the work carried out by employees on a daily basis?
- **The balance of the compensation package**
  - Ideally it should include **both financial and non-financial**
  - It should be **adaptable** and reflect the changing needs of staff

Recommending a method of motivation

Case Study

Boosting Morale at ChocoBitz

ChocoBitz is a chocolate biscuit factory where employees worked long shifts on a fast-moving production line

Managers were concerned about poor motivation for several reasons

- The work was repetitive and routine, and employees felt they were not learning new skills or progressing
- Staff regularly complained about low rates of pay
- This made workers feel bored and less engaged in their jobs
- Staff turnover was high and increasing year on year

Solutions

- To improve motivation, managers introduced **job rotation**
  - This allowed workers to switch between different tasks on the production line
  - This helped them build new skills, stay focused and feel valued
- In addition, the business introduced a **small performance-based bonus scheme**
  - Workers who met or exceeded daily production targets received a cash bonus
  - This **financial reward** encouraged employees to stay productive and gave them an extra reason to remain

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